Nilkamal Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

India's big maker of moulded plastic furniture and material-handling products (crates, bins, pallets), plus metal racking, Bubbleguard packaging, mattresses and foam, and ready-made furniture. It sells to businesses and dealers (B2B) and to homes through its 'Nilkamal Homes' stores and e-commerce.

- Market cap about Rs 3,273 cr (Screener).
- FY26 consolidated sales Rs 3,778 cr, up 14%; net profit Rs 116 cr. Operating margin has sat around 8-10% for five years: a thin-margin business.
- Q1 FY27 (Jun 2026): sales Rs 820 cr, down 7%; B2B volumes fell 37% as major raw material costs rose about 50% after global supply disruptions (per IDBI Capital's review of management's comments).
- Q2 FY27 (Sep 2026): sales Rs 1,126 cr, up 16%; operating margin 12% vs 9%; net profit Rs 68 cr vs Rs 34 cr. The best quarter in the last six.
- Net borrowing Rs 116 cr at 30 Jun 2026 vs Rs 331 cr a year earlier (company press release). Promoters hold 64.54%. CARE AA Stable rating reaffirmed.

2. Concall coverage

No concall transcripts were available on Screener. This report is based on a global web deep-dive: the company's results filings and press releases (Q1 FY27, filed 1 Aug 2026), Screener quarterly numbers to Sep 2026, and IDBI Capital result reviews (Feb and Aug 2026). No Q2 FY27 commentary from the company was found.

Source	Date	Read?
IDBI Capital Q3 FY26 result review	6 Feb 2026	Yes
Company Q1 FY27 results + press release	1 Aug 2026	Yes
IDBI Capital Q1 FY27 result review	3 Aug 2026	Yes
Screener quarterly results to Sep 2026	Nov 2026	Yes

With no calls and only results press releases, there is no guidance to test, so the consistency read is very limited.

Latest update highlights (results and press releases)

- Q2 FY27 sales up 16% with operating margin 12%, a clear rebound after a weak June quarter.
- Q1 FY27 press release: Retail & E-commerce came 'out of red to black' with EBIT of about Rs 1.7 cr vs a loss of about Rs 9.5 cr; e-commerce grew 22%, stores 6%. 100 stores under COCO and FOFO formats.
- Q1 FY27 B2B: mattress and foam +49%, ready furniture +20%, plastic furniture -13%, material handling -16%, Bubbleguard -36%. B2B kept profit flat in value despite the volume fall, through price increases and product-mix changes.
- Net borrowing more than halved in a year; capex Rs 41 cr in Q1 FY27.

Business mix & capacity

- Domestic vs export: not disclosed; small overseas subsidiaries in Sri Lanka and Ajman (UAE).

- Capacity utilization: not disclosed.

3. Earning trigger thesis

There's no management-stated trigger because the company doesn't hold calls. What the filings show: the loss-making retail and e-commerce arm turning profitable, mattresses and foam growing fast, debt falling, and a margin jump in the Sep 2026 quarter after price increases to pass on a spike in plastic raw material costs. Whether that margin holds is the open question.

Trigger	What management said	Evidence so far	Time horizon	Strength
Retail & e-commerce turnaround	'Out of red to black' (press release, Aug 2026)	EBIT positive in Q1 FY27 vs loss; e-commerce +22%	Ongoing	Moderate: one quarter of profit
Mattress & foam growth	Segment growth reported each quarter	+68% in Q3 FY26, +49% in Q1 FY27	Ongoing	Moderate
Price increases and mix	Proactive price increases and product mix optimisation (IDBI, citing management)	Q2 FY27 operating margin 12% vs 9%	Next 2 quarters	Unproven: raw material driven

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Lower net borrowing reported, but no stated plan
New business	No	Not stated
Margin up	Yes	Price increases and product-mix optimisation lifted gross margin despite a raw material spike (Q1 FY27 results, Aug 2026)
New management	No	Not stated
New capacity	No	Only 'calibrated capacity expansion' per broker; nothing named
Big orders	No	Not applicable
Turnaround	Yes	Retail and E-commerce 'has come out of red to black' (press release, Aug 2026)
Promoter buying	No	Promoter stake flat

Single concrete driver: The retail and e-commerce arm turning profitable while price increases restore B2B margins after a raw material spike.

3c. Margin bridge

Operating margin was 12% in the Sep 2026 quarter against 9% a year ago, after a June quarter where raw material costs jumped. The filings credit price increases and product-mix changes. Since this follows raw material swings the company doesn't control, it may not last (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY26-FY27 filings	No targets or guidance given	Nothing to score	n/a

Q3 FY26	Retail & E-commerce growth	Grew 13% in Q3 FY26 and 13% in Q1 FY27, and turned EBIT positive	Delivered (no promise)

With no calls and press releases that only describe the quarter, there is no story to drift from. The description of the business has been the same.

5. Bottom line

Durable earning trigger? → MAYBE

Two plausible drivers show in the filings (retail turnaround and the Sep 2026 margin jump), but management doesn't name them as a plan, and B2B volumes collapsed only one quarter earlier.

Management consistent? → MAYBE

No guidance and no calls, so there is nothing to check them against. Not a negative, just unknown.

6. Checkpoints for next quarter

- Operating margin stays above a year ago in the December quarter
- Retail and e-commerce segment stays profitable
- B2B volumes grow again on a year ago

Sources

- Screener.in NILKAMAL financials
- Nilkamal Q1 FY27 results and press release (nilkamal.com, 1 Aug 2026)
- IDBI Capital result reviews, 6 Feb 2026 and 3 Aug 2026

This is not investment advice. Do your own due diligence.